

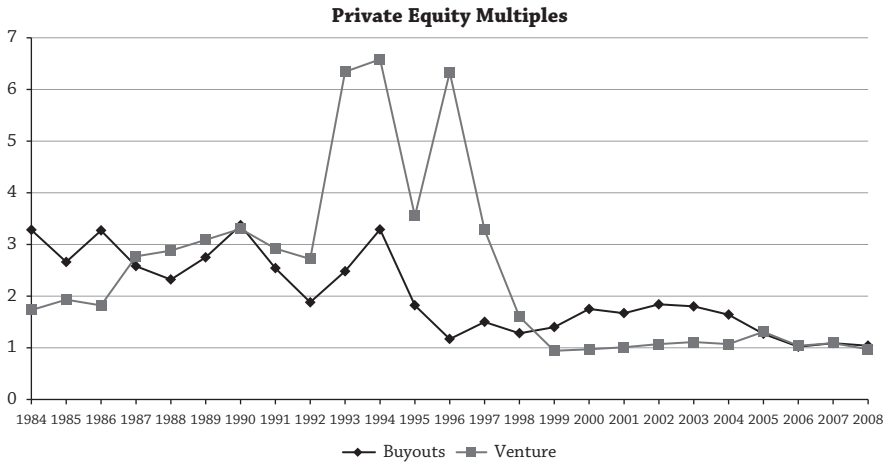


Figure 18.4

1. Time value of money

There is no adjustment for this crucial factor. In fact, the implicit assumption is that the return on reinvested capital is zero!

2. Duration

Multiples without duration information are pretty useless. A multiple of 2 means you've received twice as much as you put in—but is that generated over one year, which is a stunning return, or ten years, which is ho-hum? Even if you know the vintage year, you don't know if distributions have been returned early in the fund's history or toward the end. Although duration information is needed by asset owners to interpret multiples, Phalippou (2009) finds that fewer than 2% of PE prospectuses report holding period returns weighted by cash flow.¹⁶

3. Risk

Multiples cannot be properly interpreted without knowing underlying leverage. Clearly a multiple of three is less impressive if the fund is levered five times than if the fund has no leverage. We also need to know the underlying risks of the portfolio companies and take into account the agency and illiquidity risks.

After taking into account leverage and risk, Sorensen, Wang, and Yang (2012) estimate that break-even multiples range from 3 to 6. As Figure 18.4 reports, buyouts exceeded this in the 1980s and early 1990s but since then have underperformed. VC funds reached these levels in the early and mid-1990s, but since the 2000s VC underperformance has been severe.

¹⁶When multiples are below one, the IRR is negative. If IRRs are reported in those cases, prospectuses report "n.m." for not meaningful. It is meaningful: they've lost money.